COST CENTRE

One of the most important objectives of any kind of business is to minimize costs by all possible ways in order to maximize its profit, so it is of importance to keep track or control of every costs incurred in every section of the business cycle even in those section that does not directly contribute to the organization's profit. These brings us to the "Cost Center" concept, which is a unit or function within an organization that does not directly add to profit as opposed to profit centers but still costs the organization money to operate. Cost center manager and employees are not responsible for the profitability and investment decisions but they are responsible for some of its costs.

The main function of a cost center is the tracking of all expenses linked with certain functions. There are numerous benefits of a cost center which includes;

Monitoring efficiency – the instant update of every costs in the organization helps in the implementation of corrective measures immediately.

Employee confidence – delegation of authority that take place when making employees accountable for cost center is a way to improve confidence.

Loss prevention – cost centers try to update processes instantly, to cover all the costs with offsetting revenue by reducing expenses and producing unpredicted revenue.

Increasing profit – so as the saying "minimize costs to ultimately maximize profits".

Resource allocation – cost data can help managers allocate resources in units which needs it the most.

Management efficiency – manager can compare cost data from different time periods in order to see whether the cost center is becoming more or less profitable.

There are two main types of cost centers namely;

Production cost center, where the products are manufactured or processed. For an example an assembly area.

Service cost center, where services are provided to other cost center. For an example a personnel department or canteen.

The following are some examples of cost centers;

- Accounting department
- Research and development
- IT department
- Maintenance department
- Human Resources department
- Marketing department
- Quality assurance
- Procurement

- Logistics

Cost center profile should include but not limited to the following;

Controlling area code

Cost center initials

Validity dates

Name of cost center

Descriptive text for cost center

Cost center category

Business area